UNITED STATES
SECURITIES AND EXCHANGE COMMISSION
Washington, D.C. 20549

FORM 10-K

☒ **ANNUAL REPORT PURSUANT TO SECTION 13 OR 15(d) OF THE SECURITIES EXCHANGE ACT OF 1934**

For the Fiscal Year Ended June 30, 2026

OR

☐ **TRANSITION REPORT PURSUANT TO SECTION 13 OR 15(d) OF THE SECURITIES EXCHANGE ACT OF 1934**

For the Transition Period From to

Commission File Number 001-37845

MICROSOFT CORPORATION

WASHINGTON	91-1144442
(STATE OF INCORPORATION)	(I.R.S. ID)

ONE MICROSOFT WAY, REDMOND, WASHINGTON 98052-6399

(425) 882-8080

www.microsoft.com/investor

Securities registered pursuant to Section 12(b) of the Act:

Title of each class	Trading Symbol	Name of exchange on which registered
Common stock, $0.00000625 par value per share	**MSFT**	**NASDAQ**
3.125% Notes due 2028	**MSFT**	**NASDAQ**
2.625% Notes due 2033	**MSFT**	**NASDAQ**

Securities registered pursuant to Section 12(g) of the Act:

None

Indicate by check mark if the registrant is a well-known seasoned issuer, as defined in Rule 405 of the Securities Act. Yes ☒ No ☐

Indicate by check mark if the registrant is not required to file reports pursuant to Section 13 or Section 15(d) of the Act. Yes ☐ No ☒

Indicate by check mark whether the registrant (1) has filed all reports required to be filed by Section 13 or 15(d) of the Securities Exchange Act of 1934 during the preceding 12 months (or for such shorter period that the registrant was required to file such reports), and (2) has been subject to such filing requirements for the past 90 days. Yes ☒ No ☐

Indicate by check mark whether the registrant has submitted electronically every Interactive Data File required to be submitted pursuant to Rule 405 of Regulation S-T (§232.405 of this chapter) during the preceding 12 months (or for such shorter period that the registrant was required to submit such files). Yes ☒ No ☐

Indicate by check mark whether the registrant is a large accelerated filer, an accelerated filer, a non-accelerated filer, a smaller reporting company, or an emerging growth company. See the definitions of “large accelerated filer,” “accelerated filer,” “smaller reporting company,” and “emerging growth company” in Rule 12b-2 of the Exchange Act.

Large Accelerated Filer ☒	Accelerated Filer ☐
Non-accelerated Filer ☐	Smaller Reporting Company ☐
	Emerging Growth Company ☐

If an emerging growth company, indicate by check mark if the registrant has elected not to use the extended transition period for complying with any new or revised financial accounting standards provided pursuant to Section 13(a) of the Exchange Act. ☐

Indicate by check mark whether the registrant has filed a report on and attestation to its management’s assessment of the effectiveness of its internal control over financial reporting under Section 404(b) of the Sarbanes-Oxley Act (15 U.S.C. 7262(b)) by the registered public accounting firm that prepared or issued its audit report. ☒

If securities are registered pursuant to Section 12(b) of the Act, indicate by check mark whether the financial statements of the registrant included in the filing reflect the correction of an error to previously issued financial statements. ☐

Indicate by check mark whether any of those error corrections are restatements that required a recovery analysis of incentive-based compensation received by any of the registrant’s executive officers during the relevant recovery period pursuant to §240.10D-1(b). ☐

Indicate by check mark whether the registrant is a shell company (as defined in Rule 12b-2 of the Act). Yes ☐ No ☒

As of December 31, 2025, the aggregate market value of the registrant’s common stock held by non-affiliates of the registrant was $3.6 trillion based on the closing sale price as reported on the NASDAQ National Market System. As of July 23, 2026, there were 7,425,545,491 shares of common stock outstanding.

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ITEM 8. FINANCIAL STATEMENTS AND SUPPLEMENTARY DATA

INCOME STATEMENTS

(In millions, except per share amounts)

Year Ended June 30,	2026	2025	2024
Revenue:			
Product	**$ 64,696**	$ 63,946	$ 64,773
Service and other	**267,143**	217,778	180,349
Total revenue	**331,839**	281,724	245,122
Cost of revenue:			
Product	**12,098**	13,501	15,272
Service and other	**94,276**	74,330	58,842
Total cost of revenue	**106,374**	87,831	74,114
Gross margin	**225,465**	193,893	171,008
Research and development	**35,562**	32,488	29,510
Sales and marketing	**26,710**	25,654	24,456
General and administrative	**7,956**	7,223	7,609
Operating income	**155,237**	128,528	109,433
Other income (expense), net	**10,697**	(4,901)	(1,646)
Income before income taxes	**165,934**	123,627	107,787
Provision for income taxes	**32,185**	21,795	19,651
Net income	**$ 133,749**	$ 101,832	$ 88,136
Earnings per share:			
Basic	**$ 18.00**	$ 13.70	$ 11.86
Diluted	**$ 17.95**	$ 13.64	$ 11.80
Weighted average shares outstanding:			
Basic	**7,429**	7,433	7,431
Diluted	**7,453**	7,465	7,469

Refer to accompanying notes.

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BALANCE SHEETS

(In millions)

June 30,	2026	2025
Assets		
Current assets:		
Cash and cash equivalents	**$ 20,935**	$ 30,242
Short-term investments	**55,908**	64,323
Total cash, cash equivalents, and short-term investments	**76,843**	94,565
Accounts receivable, net of allowance for doubtful accounts of **$1,040** and $944	**80,876**	69,905
Inventories	**1,397**	938
Other current assets	**48,594**	25,723
Total current assets	**207,710**	191,131
Property and equipment, net of accumulated depreciation of **$118,691** and $93,653	**313,076**	204,966
Operating lease right-of-use assets	**24,177**	24,823
Equity and other investments	**36,348**	15,405
Goodwill	**119,651**	119,509
Intangible assets, net	**18,609**	22,604
Other long-term assets	**38,805**	40,565
Total assets	**$ 758,376**	$ 619,003
Liabilities and stockholders' equity		
Current liabilities:		
Accounts payable	**$ 42,416**	$ 27,724
Current portion of long-term debt	**9,227**	2,999
Accrued compensation	**14,945**	13,709
Short-term income taxes	**2,534**	7,211
Short-term unearned revenue	**72,965**	64,555
Other current liabilities	**26,738**	25,020
Total current liabilities	**168,825**	141,218
Long-term debt	**31,067**	40,152
Long-term income taxes	**28,647**	25,986
Long-term unearned revenue	**2,747**	2,710
Deferred income taxes	**3,054**	2,835
Operating lease liabilities	**16,532**	17,437
Other long-term liabilities	**65,117**	45,186
Total liabilities	**315,989**	275,524
Commitments and contingencies		
Stockholders' equity:		
Common stock and paid-in capital – shares authorized 24,000; outstanding **7,427** and 7,434	**117,406**	109,095
Retained earnings	**328,265**	237,731
Accumulated other comprehensive loss	**(3,284)**	(3,347)
Total stockholders' equity	**442,387**	343,479
Total liabilities and stockholders' equity	**$ 758,376**	$ 619,003

Refer to accompanying notes.

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CASH FLOWS STATEMENTS

(In millions)

Year Ended June 30,	2026	2025	2024
Operations			
Net income	**$ 133,749**	$ 101,832	$ 88,136
Adjustments to reconcile net income to net cash from operations:			
Depreciation, amortization, and other	**38,534**	29,433	20,958
Stock-based compensation expense	**12,405**	11,974	10,734
Net recognized losses (gains) on investments and derivatives	**(11,047)**	5,329	1,634
Deferred income taxes	**14,189**	(7,056)	(4,738)
Changes in operating assets and liabilities:			
Accounts receivable	**(12,737)**	(10,581)	(7,191)
Inventories	**(461)**	309	1,284
Other current assets	**(2,627)**	(3,044)	(1,648)
Other long-term assets	**(3,964)**	(2,950)	(6,817)
Accounts payable	**5,268**	569	3,545
Unearned revenue	**9,361**	5,438	5,348
Income taxes	**(1,875)**	(38)	1,687
Other current liabilities	**6,847**	5,922	4,867
Other long-term liabilities	**(4,707)**	(975)	749
Net cash from operations	**182,935**	136,162	118,548
Financing			
Proceeds from issuance (repayments) of debt, maturities of 90 days or less, net	**0**	(5,746)	5,250
Proceeds from issuance of debt	**0**	0	24,395
Repayments of debt	**(3,000)**	(3,216)	(29,070)
Common stock issued	**2,009**	2,056	2,002
Common stock repurchased	**(22,271)**	(18,420)	(17,254)
Common stock cash dividends paid	**(26,445)**	(24,082)	(21,771)
Other, net	**(2,839)**	(2,291)	(1,309)
Net cash used in financing	**(52,546)**	(51,699)	(37,757)
Investing			
Additions to property and equipment	**(115,948)**	(64,551)	(44,477)
Acquisition of companies, net of cash acquired and divestitures, and purchases of intangible and other assets	**(1,743)**	(5,978)	(69,132)
Purchases of investments	**(58,351)**	(29,775)	(17,732)
Maturities of investments	**34,605**	16,079	24,775
Sales of investments	**21,798**	9,309	10,894
Other, net	**(19,861)**	2,317	(1,298)
Net cash used in investing	**(139,500)**	(72,599)	(96,970)
Effect of foreign exchange rates on cash and cash equivalents	**(196)**	63	(210)
Net change in cash and cash equivalents	**(9,307)**	11,927	(16,389)
Cash and cash equivalents, beginning of period	**30,242**	18,315	34,704
Cash and cash equivalents, end of period	**$ 20,935**	$ 30,242	$ 18,315

Refer to accompanying notes.